Filing # 256546965 E-Filed 09/08/2026 10:57:52 AM

IN THE DISTRICT COURT OF APPEAL
THIRD DISTRICT OF FLORIDA

Case No. 3D2025-2083

(Lower Tribunal Case No. 24-22038-CA-01)

SAMANTHA LOVING AND SOPHEARY DEBENEDICTIS,

Appellants,

v.

ASSIGNMENT FOR THE BENEFIT OF CREDITORS OF GUSAR LLC,

Appellee.

BRIEF OF AMICUS CURIAE THE BUSINESS LAW SECTION OF THE FLORIDA BAR IN RESPONSE TO THE COURT'S QUESTION

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INTEREST OF AMICUS CURIAE

The Business Law Section of The Florida Bar ("BLS") is a voluntary organization consisting of more than five thousand members of the Florida Bar, many of whom engage in commercial litigation, including bankruptcy and insolvency issues. The BLS provides sophisticated continuing legal education programs on the panoply of issues faced by business law practitioners, including those related to assignments for the benefit of creditors. The BLS has previously appeared as *amicus curiae* when requested by courts or when an issue substantially affects the practice of business law. In this case, both conditions are met.[1]

QUESTION PRESENTED

On July 28, 2026, this Court invited the BLS, among other organizations, to appear as amicus curiae to assist the Court in addressing whether the proceeds of a commercial general liability ("CGL") insurance policy constitute assets of a Chapter 727 general assignment for the benefit of creditors. This question is one of first impression in Florida. The answer turns on a single controlling inquiry: whether the assignment estate possessed any pre-assignment pecuniary interest in the insurance proceeds. The trial court held that the CGL insurance proceeds were property of the assignment estate. The BLS takes no position on whether the Turnover Order should be affirmed or reversed; rather the BLS's sole purpose in

[1] This brief is submitted on behalf of the Business Law Section only, and does not express any position of The Florida Bar.

filing this brief is to assist this Court—and future courts—in outlining the functions of Chapter 727 and its intersection with relevant federal bankruptcy law.

SUMMARY OF ARGUMENT

Without doubt, the subject insurance policy is a pre-petition asset of the estate, as are any contractual rights arising under it. However, ownership of a CGL policy does not create rights to policy proceeds. The estate's interest in the proceeds depends on whether (1) the assignor is the insured entitled to payment, and (2) the assignor gets directly paid under the policy. In other words, the assignment estate must have a "direct pecuniary interest" in the proceeds prior to the assignment.

ARGUMENT

I. Chapter 727 Background.

An assignment for the benefit of creditors ("ABC") is a state-law vehicle for liquidating a failed or no longer viable business. It has long been used in Florida for the administration of an insolvent estate. The law governing an ABC is contained within Chapter 727 of the Florida Statutes. Fla. Stat., Ch. 727. The process is designed to provide impartial transparency to all parties involved while an independent fiduciary liquidates the assignment estate for the benefit of creditors under Court supervision.

Although the practice has been codified since Roman times, ABCs existed at common law in the United States. *See Moecker v. Antoine*, 845 So. 2d 904, 910 (Fla. 1st DCA 2003). The original Florida ABC act was enacted in 1889 (Laws of Florida Ch. 3891). It was substantially redrafted in 1987 (Laws of Florida Ch. 87-174) and amended many times ever since. Indeed, the Florida Supreme Court affirmed the constitutionality of an ABC in 1896, which has been upheld in subsequent cases. *See Dorr v. Schmidt*, 38 Fla. 354, 359 (Fla. 1896).

An ABC is intended to be an economical and efficient alternative to a federal bankruptcy. Courts, including this one, look to federal bankruptcy law for guidance in interpreting the assignment statutes. *Akin Bay Co., LLC v. Von Kahle*, 180 So. 3d 1180, 1184 (Fla. 3d DCA 2015); *Moffatt & Nichol, Inc. v. B.E.A. Int'l Corp.*, 48 So. 3d 896, 899 (Fla. 3d DCA 2010); *Moecker*, 845 So. 2d at 91 ("courts often look to federal bankruptcy law for guidance as to legal issues arising in proceedings involving assignments for the benefit of creditors").

The assignment is a contract. Through it, the assignor conveys its assets to an assignee for liquidation and distribution to creditors. In that regard, the statute provides that the assignor "grants, assigns, conveys, transfers, and sets over" to the assignee all of its assets, except exempt property, which collectively constitute the "estate." Fla. Stat., § 727.104. The transfer passes to the assignee all of the assignor's "legal and equitable interests in its nonexempt assets. *Hillsborough*

Cnty. v. Lanier, 898 So. 2d 141, 145 (Fla. 2d DCA 2005). In connection with that transfer, the assignee stands in the assignor's shoes and takes the estate subject to all the equities and burdens attaching to it. *Akin Bay Co., LLC*, 180 So. 3d at 1183. Indeed, the stated intent of Chapter 727 "is to provide a uniform procedure for the administration of insolvent estates, and to ensure full reporting to creditors and equal distribution of assets according to priorities as established under this chapter." Fla. Stat., § 727.101; *Champaign Nat'l Bank v. SOS Indus., Inc*., 815 So.2d 725, 728 (Fla. 5th DCA 2002).

II. Estate Must Have Pecuniary Interest in Policy Proceeds to Become Part of Assignment Estate.

Chapter 727 defines an "*asset*" as "a legal or equitable interest of the assignor in property, which includes anything that may be the subject of ownership . . . including claims and causes of action, whether arising by contract or in tort, . . . at the date of the assignment." Fla. Stat., § 727.103(1)). The "estate," in turn, is comprised of "all of the assets of the assignor." *Id*. Both definitions are tied to the assignor's own interests as they existed on the date of the assignment. Accordingly, the estate is coextensive with what the assignor owned as of the date of the assignment, nothing more.

It follows then that once an assignment is instituted, "the debtor no longer has any legal or equitable rights in the assets assigned," *Lanier*, 898 So. 2d at 144, and the estate consists of only the legal and equitable interests the assignor held "at

the date of the assignment." *Id*. As a result, the assignee's duty is to collect and reduce to money the conveyed estate assets. Thus, the assignment estate can only have an interest in property that the assignor possessed at the time of the assignment.

Only after a court determines that certain property is an asset of the assignment estate does the distributive machinery of Chapter 727 apply. The intent of the ABC statutes is "to ensure . . . equal distribution of assets according to priorities as established under this chapter." Fla. Stat., § 727.101. But, the power to distribute an asset presupposes an ownership interest in it. It cannot create it.

Whether CGL insurance policy proceeds constitute an assignment asset is one of first impression in Florida, and is precisely the kind of issue on which the bankruptcy analogue supplies the answer. Section 727.103(1)'s "legal or equitable interest" in property tracks with the same force the bankruptcy estate's "legal or equitable" interests of the debtor in property under 11 U.S.C. § 541(a).

Looking to the bankruptcy guidepost, a debtor's liability policy becomes estate property upon the bankruptcy filing. *In the Matter of Edgeworth*, 993 F.2d 51, 55 (5th Cir. 1993) (explaining that "[i]nsurance policies are property of the estate because, regardless of who the insured is, the debtor retains certain contract rights under the policy itself"); *Fed. Ins. Co. v. Banyon 1030-32*, Case No. 8:10-cv-682-T-33AEP, 2010 WL 3824200, at *2 (M.D. Fla. Sept. 27, 2010) ("Insurance

policies in a debtor's name...are considered property of the debtor's estate[.]"). But, while a debtor's liability insurance policies are property of the estate, the treatment of the proceeds is a distinct issue.

The controlling test to determine ownership asks whether the debtor, itself, would benefit from the proceeds. Federal courts also make a distinction as to certain insurance policies, and how specific insurance policies' proceeds can be property of the estate; not general insurance policies. This distinction between policy types can further guide this Court's decision.

Insurance policies such as casualty, collision, life, and fire insurance are examples of policies whose proceeds are property of the estate, "[b]ut under the typical liability policy, the debtor will not have a cognizable interest in the proceeds of the policy." *Edgeworth*, 993 F.2d at 56. The rationale underlying this rule is that where the debtor is the named beneficiary of a policy, the proceeds inure to the bankruptcy estate and are available to all creditors. This reasoning has been widely adopted. *See, e.g., Chenault v. Univ. of Kentucky*, 607 B.R. 300, 308 (E.D. Ky. 2019) (applying the same framework in *Edgeworth* to analyze whether insurance proceeds fell within the estate).

Florida's bankruptcy courts have also adopted this *Edgeworth* test and applied it to ordinary liability coverage. For example, the bankruptcy court in *In re Scott Wetzel Servs., Inc*., 243 B.R. 802, 804 (Bankr. M.D. Fla. 1999) explained that

although "an insurance policy issued to the debtor will generally constitute property of the estate," a "debtor will not have a cognizable interest in the proceeds of the typical liability policy because the proceeds will normally be payable only for the benefit of those harmed by the debtor under the terms of the insurance contract." *Id*. The court accordingly held that "the proceeds of the Liability Insurance Policies are not property of the estate because the Debtor would not have the right to keep the funds." *Id*.

Another Florida bankruptcy court reached the same conclusion. In *In re CHS Elecs., Inc.*, 261 B.R. 538, 541 (Bankr. S.D. Fla. 2001), the court adopted the policy-versus-proceeds distinction and held that where coverage is "payable only for the benefit of" third parties, "it is they, and not the estate, that have a property interest in the liability proceeds." *Id*. at 542. In other words, '"one having a pending, unadjudicated tort claim against another does not—whether or not the claimant is bankrupt—thereby have a property interest in liability insurance proceeds payable to the defendant.'" *Id*. (citing with approval to *In re Louisiana World Exposition, Inc*., 832 F.2d 1391, 1399 (5th Cir. 1987)). One court recently confirmed that a debtor's competing status as a claimant creates no ownership to the liability insurance proceeds. *See Humbertson v. Progressive Select Ins. Co.*, No. 8:23-CV-1709-MSS-AAS, 2026 WL 827182, at *3 (M.D. Fla. Mar. 26, 2026) ("bankruptcy courts allow third-party tort claimants to proceed against a debtor in

name only to obtain a judgment and then seek payment from the debtor's insurance company. In such cases, the debtor would have no personal right to the proceeds of the policy and thus the payment goes straight to the third-party claimant, not to the bankruptcy estate").

Whether policy proceeds are or are not estate property tracks the direct-pecuniary-interest test. First-party proceeds are property of the estate because the debtor directly receives the proceeds. *Scott Wetzel Servs., Inc*., 243 B.R. at 802. So, too, are liability proceeds, to the limited extent the debtor holds its own coverage, such as indemnification or entity coverage, because payment to third parties would diminish the pot available to satisfy the debtor's own covered claims. *CHS Elecs., Inc*., 261 B.R. at 538. But "where the debtor . . . designates a third party as beneficiary," the proceeds fall "outside the scope of property of the estate." *Scott Wetzel Servs., Inc.*, 243 B.R. at 805 (internal citations omitted). In each instance, the dispositive question remains the same: would the estate itself have a right to receive and keep the proceeds?

III. Limited Application of Secondary Impact Exception.

The so-called "secondary impact exception" is limited in nature and rarely used. We are unaware of any cases addressing it in the context of an assignment for the benefit of creditor in any state. In the bankruptcy context, the Fifth Circuit explained that the exception should be applied in "[i]n the '***limited circumstances***',

. . . where a siege of tort claimants threaten[s] the debtor's estate over and above the policy limits." *In re OGA Charters, L.L.C.*, 901 F.3d 599, 604 (5th Cir. 2018) (emphasis added). Notably, the exception confers no right to the proceeds but only recognizes an "equitable interest of the debtor in hav[ing] the proceeds applied to satisfy as much of th[e] claims as possible," so that the proceeds "reduce some claims and permit more extensive distribution of available assets." *Id*. The decisions recognizing the exception disclaim any "determination as to the validity, enforceability, or propriety of the purported settlements." *Id.*, at 605.

Courts examining the application of the exception have criticized its application in liquidation cases (as opposed to reorganization cases), explaining that the debtor's need to decrease its own liability, to affect the outcome of suits against its insurers, and to structure settlements are "not relevant or present" in a liquidation scenario. *Scott Wetzel Servs., Inc*., 243 B.R. at 805. (explaining the different equitable interests between a reorganization case under Chapter 11 and a liquidation case under Chapter 7). The latter is what a Chapter 727 assignment case is. It is a liquidation, not a reorganization. Thus, the exception should not theoretically be applied in assignment cases at all. It is unclear (i) if the trial court concluded that the secondary impact exception applied under Chapter 727, and, if so, (ii) whether the trial court analyzed the parties' positions under the applicable case law and competing interests.

CONCLUSION

For the reasons set forth herein, the Court should look to federal bankruptcy law to determine whether insurance proceeds constitute property of the assignment estate.

Dated on this 8th day of September, 2026

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that I have served a true and correct copy of the foregoing electronically via Florida courts e-filing portal and electronic mail on this 8th day of September, 2026 to counsel for Appellant, Wm. Allen Bonner, Esq., South Florida Appeal, P.A., 3350 Virginia Street, 2nd Floor, Miami, Florida 33133 (Email: abonner@sfappeals.com), and counsel for Appellee, Jerrod M. Maddox, Esq., Dunn Law, P.A., 66 West Flagler Street, Suite 400 Miami, Florida 33130 (Email: jerrod.maddox@dunnlawpa.com).

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CERTIFICATE OF COMPLIANCE

I HEREBY CERTIFY that this brief complies with the type size and style-volume limitations and the font is in Times New Roman 14-point typeface, in compliance with Rule 9.210(a)(2) of the Florida Rules of Appellate Procedure.

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